BUSINESS CASE: NCBA & PEZESHA PARTNERSHIP

NCBA

Proposal Back ground:
In line with growth objective of acquiring one million new customers and 67% loan book growth, the bank is evaluating a partnership and business model with Pezesha. The partnership is anchored on potential existing Pezesha customer base, utilizing the digital lending infrastructure and scale the NCBA Retail lending. Pezesha has aggregated Small Medium Enterprises (SME) with embedded finance as the key business value in the Fintech-distributor ecosystem.

The National Economic survey report by Central Bank of Kenya (CBK 2017) indicate that SMEs create 80 percent of employment, establish a new middle class and stimulate the demand for new goods and services. Most SMEs fall under the informal sector.

The informal sector is estimated to constitute 98 percent of business in Kenya, contributing 30 percent of jobs and 40 percent of Kenya's GDP (KAM CEO,2018)

The International Finance Corporation (IFC) estimates that 65 million firms, or 40% of formal micro, small and medium enterprises (MSMEs) in developing countries, have an unmet financing need of $5.2 trillion every year, which is equivalent to 1.4 times the current level of the global MSME lending.

In Kenya, the industry gap is estimated to be circa $19B for Micro Small and Medium Enterprises (MSME)

Current customer pain points:

1. **Lack of collateral**: - most MSME and their owners/directors do not have required collateral to secure conventional credit.
2. **Lengthy credit appraisal process**: - where security is available, the associated timelines for appraisal and credit decision is lengthy resulting to opportunity cost.
3. **Lack of bespoke solutions** to meet emerging business and industry needs

The credit gap to MSME is attributed to the factors below:

1. **Data**: Unavailability of data to underwrite SMEs for financing and where available, the data is not structured for conventional lending.
2. **Digital KYC and Onboarding**: No current capability of Digital and customer on-boarding.
3. **Manual credit scoring**: Manual appraisal and scoring of SMEs regardless of loan amounts, making the process lengthy and tedious.
4. **Poor customer experience** due to longer transaction processing TAT, system outages and high decline rate.

This therefore provides a unique opportunity for strategic partnership for digital led ecosystems to be able to achieve our strategic retail banking objective of 1M new customers and +67% growth on the loan book.

Objective/benefits of the Partnership:
This partnership intends to achieve the following:

1. **New Customer Acquisition**:
   The partnership presents a target base of "Banking ready" customers as a day 1 requirements. The potential base is 200K

2. **Balance sheet Growth**:
   New customer acquisition translates to CASA and loan book growth as result of growth in commissions and fees.
3. **Cost minimization**:
   The partnership avails a digital acquisition, workflow, scoring engine and a loan management system without a fixed capital expenditure. This in turn improves efficiency and cost of customer onboarding.
4. **Diversification of revenue streams** - due to cross sell opportunities to customers on the platform.
5. **Enhanced customer experience** with round the clock support and product availability
6. **Improved portfolio quality** due to portfolio diversification and enhanced scoring

Current Business Landscape:

Our current business model is not dynamic, resilient or scalable enough to respond to changing industry and customer needs. In our current landscape, with single partner over the years, we have had a flat growth in the last 5 years.

Year	2018	2019	2020	2021	2022	2023
No	1397	1420	326	353	368	94
Ksh	116,430,846	117,814,877	34,271,452	29,861,396	35,499,198	5,697,724

Customer needs particularly in the SME space are rapidly evolving and require resilient business models that can support emerging needs & use cases. Fintech and banks are deploying revolutionary digital solutions that are competitive and resonate with customer needs.

Currently, over 60% of MSMEs are not able to access credit with the existing processes in Retail Banking due to data deficiency, manual onboarding and scoring process. We are not designed with a scalable platform for loan management and a scoring model with capability to ingest conventional data (bank statement), remotely onboard customers, maintain limits and present them to end users.

Some of the key challenges that have hindered growth include:

- Manual and lengthy on-boarding process
- Lack of sufficient data or access to alternative robust data to make batter credit decision
- Frequent and prolonged system outages
- High transaction decline rate due to rigid scorecard that is not easily customizable and adaptable
- Poor customer experience due to longer transaction processing TAT, system outages and high decline rate.

In line with the proposed Banking Sector Charter (CBK 2019) to increase access to affordable banking to unbanked and underserved population, we propose to focus on embedded finance with an end-to-end (e2e) digital delivery. This is premised on mass acquisition and time to market.

Proposed Business Model:

In line with our growth objective of +67% on lending and acquire 1M new retail customers, this paper proposes to adopt multi – partnership approach based on the business consideration items highlighted below:

1. **Partnership for Embedded Finance & Direct SME lending with existing ecosystem providers:** This is a model in an ecosystem where we use our financial license to provide access to financial services to non-banking business via API. We will intermediate between 3rd parties and end consumers. The aim is to partner with Pezesha (related firms) with existing solution and customer base and use our balance sheet to unlock the capital gap.

2. Use white-labelled solution platforms

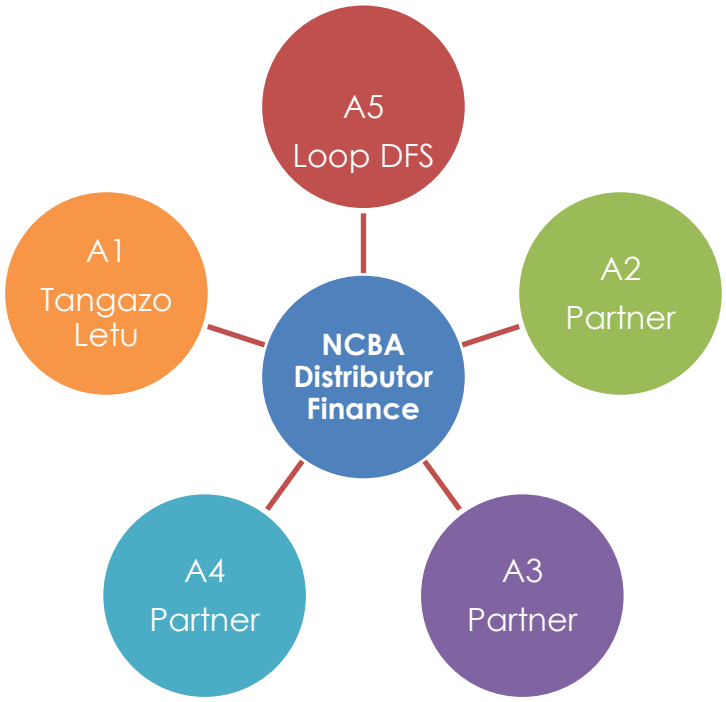
The approach entails using existing 3rd party platforms with capability below:

1. E2E automated loan origination, credit decision, disbursement and post disbursement
2. Light kyc tool for SME onboarding
3. Monitoring and reporting tool
4. Using omni channel platform – USSD, Mobile and Web platform

In both scenarios we propose to adopt a revenue share model defined by the business case.

Solution approach:

The overarching goal for retail acquisition is partnership model based on the business value derived from the engagement. The delivery will be vendor agnostic, based on existing business value and opportunity to scale. The diagram below highlights the approach:



- **A1** is **Tangazo letu** the current service provider with existing to bank (E2B) proposition and offering scoring engine, loan management system and monitoring tool
  A2 is **Pezesha** with light existing base of 200k customers and loan book of $ 10m, eKYC, Digital onboarding, loan origination, credit scoring and loan management system and existing customer base and loan book.

- **A3** is a potential partner with existing customer base and loan book for potential partnership
- **A4** is a potential partner with existing customer base with possibility of partnership on Digital accounts, lending and agency banking.
- **A5** is **Loop DFS**, a potential partner with a scoring engine, loan origination and loan management system

To achieve this approach, we have identified Pezesha as partner to scale retail lending in the SME space particularly on the supply chain finance.
This paper therefore proposes to on board Pezesha on account of key defined key business value.

Expected benefits (ROI)
The expected benefits from this partnership include:

a) Access to potential 200K base of customers and loan book of $ 10,000,000

Pezesha is a going concern Fintech with experience in the SME space. The partnership will be premised on using our balance sheet and leverage in their existing customer base and partners at inception. The intention is to then scale distributor Finance Base Anchor in the same model.
The outlook at 50% penetration of the book is highlighted below:

	Year 1	Year 2	Year 3
Disbursements	9,205,976,436	20,240,162,852	25,183,751,737
Revenues			
Appraisal fees	368,239,057	809,606,514	1,007,350,069
Interest rate	138,089,647	303,602,443	377,756,276
Total	**506,328,704**	**1,113,208,957**	**1,385,106,346**
Costs			
FTP Charge	- 57,671,786	- 126,614,775	- 157,432,946
Business Development People Costs	- 1,750,000	- 3,700,000	- 4,500,000
Marketing Cost	- 1,200,000	- 1,200,000	- 1,200,000
Revenue share to PARTNER	- 127,773,253	- 280,866,387	- 349,434,905
Implementation cost	7,500,000		
Provisions	- 184,119,529	- 404,803,257	- 349,434,905
Cost of technology	-13,993,652	-13,993,652	-13,993,652
Total OPEX	**- 369,206,684**	**- 793,193,638**	**- 983,006,652**
Net Income	**137,122,019**	**320,015,319**	**402,099,692**

b) White labelled solution with revenue share pegged on book performance

This will entail Pezesha providing the e2e loan management, digital onboarding, Patascore-as-a-Service, monitoring & reporting and support with portfolio management between 1-30 dpd. This

service will be white labelled to bear the identity of NCBA. NCBA will provide balance sheet and bear responsibility on the cost of capital.

Implementation approach:

Task	Timeline	Who to coordinate
Proof of Concept definition	2 months (30th May to 30th July	NCBA
Have work-streams for assessing further on credit scoring and technical/Product specifications	On going	NCBA
Integrations or APIs customizations	May 31st Post signing the contract	NCBA and Pezesha
Project management: Agile methodology	From May 31st	Pezesha
Go live with first anchor as the first case study	20th June 2023	NCBA and Pezesha
End of pilot: Learnings, confirm objectives were met and align on iterations	July 30th, 2023 First review session	Pezesha
Introduce additional Embedded Finance partners at scale	Continuous. To start immediately after roll-out.	Pezesha and NCBA

The responsibility matrix is summarized below:

NCBA	Pezesha
Funding by NCBA	Lending & scoring algorithm
Credit risk (NPL)	System development, enhancement & maintenance
Credit scoring approval	24/7 support stability and scaling
Customer support	1& 2nd level Technical support
Marketing cost	customer channel support
Customer data	Hardware and Software implementation
Product strategy and road map development	Product strategy and default definition
Hosting on NCBA infrastructure	Credit scoring model cutoff limits
	Customer support from 1-30 days late

The revenue share model is based on the performance and is pegged on the Portfolio at Risk (PAR) target net of the cost of capital and provisions

Revenue share	Target
30% Rev share	PAR at less than 10%
20% Rev share	PAR between 10.1- 20%
15% Rev share	PAR between 20.1-30%
5% Rev share	PAR between PAR at more 30.1%

Simulation of revenue share at 70:30 with a PAR

	Year 1	Year 2	year 3
Disbursement	9,205,976,436	2,0240,162,852	25,183,751,737
NCBA share (Net margin)	137,122,019	320,015,319	402,099,692
Partner share	127,773,253.00	280,866,387	349,434,905

Recommendation:
The proposed partnership clearly provides an opportunity to offer robust and dynamic Digital lending solution for MSMEs to help scale retail banking. The expected growth in transactions throughput and superior customer experience will ensure exponential business growth and sustainability. We therefore seek support and approval as proposed

Cloud costs:
To ensure provisioning of a production environment for setting up Pezesha application on Azure cloud.

Appendices.docx


Cloud%20Costs.docx

Environment	Resource	Tier/Sizing	Qty	Total (USD)
Development	AKS	Standard	1	73.00
	VMs for AKS	Standard D4s v3 (4 vcpus, 16 GiB memory)	3	$ 687.66
	VMS for Autoscaling	Standard D4s v3 (4 vcpus, 16 GiB memory)	0	-
	SQL DB	GeneralPurpose: Standard-series (Gen5), 4 vCores	1	887.50
	Storage	1TB Premium	1	214.00
	AKV	Standard	1	$ 5.00
	Service Bus	Basic	1	$ 0.07
Sub Total				$ 1,867.23
Test	AKS	Standard	1	$ 73.00
	VMs for AKS	Standard D4s v3 (4 vcpus, 16 GiB memory)	3	$ 687.66

	VMS for Autoscaling	Standard D4s v3 (4 vcpus, 16 GiB memory)	0	-
	SQL DB	GeneralPurpose: Standard-series (Gen5), 4 vCores	1	$ 887.50
	Storage	1TB Premium	1	$ 214.00
	AKV	Standard	1	$ 5.00
	Service Bus	Basic	1	$ 0.07
Sub Total				$ 1,867.23
Production	AKS	Standard	1	$ 73.00
	VMs for AKS	Standard D4s v3 (4 vcpus, 16 GiB memory)	3	$ 687.66
	VMs for Autoscaling	Standard D4s v3 (4 vcpus, 16 GiB memory)	3	$ 687.66
	SQL DB	GeneralPurpose: Standard-series (Gen5), 4 vCores	1	$ 887.50
	Storage	10TB Premium	1	$ 2,140.00
	AKV	Premium	1	$ 10.00
	Service Bus	Premium	1	$ 750.00
Sub Total				5,235.82
Grand Total				**$ 8,970.29**
Annual Cost				**$107,643.48**

Signoffs:

Prepared by:

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NCBA

Document Approval Audit Trail

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